

NFLX Netflix Inc.

NASDAQ · Communication Services. Entertainment / Streaming · Updated **2026-06-17**

RECOMMENDATION BUY	CURRENT PRICE \$78.19	12M TARGET \$91.00 (+16.7%)	NEXT EARNINGS 2026-07-15 (Q2 FY26E; cons \$12.58B rev / \$0.79 ...
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Thesis
Three bullets — the whole bet

- 1. Advertising revenue reached \$1.5B+ in FY2025 and brokers model \$3.1B in FY2026E (+104% YoY); 60%+ of new sign-ups now choose the ad-supported tier; the monetization ramp is real and the current multiple prices in none of it.
- 2. Operating margin expanded 1,170bps in three years (17.8% in FY2022 to 29.5% in FY2025); FCF compounded from \$1.6B (FY2022) to \$9.5B (FY2025) with management guiding \$12.5B for FY2026; each 100bps of further margin expansion at \$51B revenue adds ~\$510M pretax.
- 3. The WBD merger termination fee (~\$2.8B gross, received Q1 2026) clears the M&A; execution overhang; buybacks resume at \$8.8B expected in FY2026; street mean target is \$114 vs \$78 current, the widest gap in 18 months.

Key numbers					
Pulled via yfinance-data · validated by Delta audit					
LAST CLOSE	\$78.19	52-WEEK RANGE	\$75.01 to \$134.12	DRAWDOWN FROM HIGH	-41.6%
1-YEAR RETURN	-35.6%	YTD RETURN	-13.9%	MARKET CAP	\$329B
ENTERPRISE VALUE	\$336B	NET DEBT	\$2.1B (Q1 2026)	FY25 REVENUE	\$45.18B
FY25 EBITDA / MARGIN	\$30.25B / 67% (incl. Content D&A;)	FY25 OPERATING INCOME / MARGIN	\$13.33B / 29.5%	FY25 FCF	\$9.46B
FY25 NET INCOME	\$10.98B	FORWARD EPS (FY26E)	\$3.59 (39 analysts)	FORWARD P/E (FY26E)	21.8x
FORWARD P/E (FY27E)	20.4x	EV / EBITDA (FY25)	11.1x	FCF YIELD (FY25)	2.8%
BETA	1.49	ADTV (10D)	~\$3.1B	30D REALIZED VOL	23.7%
ANALYST CONSENSUS	Buy (1.68 / 5.0, 44 analysts)	MEAN / MEDIAN PT	\$114 / \$115	IMPLIED PT UPSIDE (STREET)	+46%
DIVIDEND YIELD	None				

Business overview
What the company does, how it makes money, who it sells to

Netflix is the world's largest paid streaming service, operating in over 190 countries with approximately 301M+ paid subscribers. The company produces and licenses film and television content across every genre,

distributing it over the internet to smart TVs, mobile devices, and computers. Netflix moved from DVD-by-mail to streaming in 2007 and began original content production in 2013 with House of Cards; it is now the largest single buyer of content globally by dollar spend.

BUSINESS MODEL

Netflix earns revenue almost entirely through monthly subscription fees, tiered by video quality and simultaneous screens: a standard plan with ads at a lower price point, a standard plan without ads, and a premium plan. Pricing varies materially by country. The company licenses content from studios and produces originals. Content is capitalized and amortized over its useful life, creating a large non-cash D&A; charge (\$16.8B in FY2025) that masks underlying FCF; reported FCF was \$9.46B in FY2025 on \$45.18B revenue.

SEGMENTS

US and Canada (UCAN)

Highest ARPU region at approximately \$17-18/month. Approximately 95-100M paid subscribers as of Q1 2026. Core market with mature subscriber base; primary growth driver is ARPU expansion and ads monetization rather than net adds. Netflix does not report segment margins.

Europe, Middle East and Africa (EMEA)

Approximately 100-107M paid subscribers. Second-largest revenue region. Growing at mid-teens YoY in local currency; ads tier adoption in Western Europe is accelerating.

Latin America (LATAM)

Approximately 45-50M paid subscribers. ARPU approximately \$7-9/month in USD. Password sharing conversion ongoing in several LATAM markets. Currency volatility (BRL, MXN) creates noise in USD-reported revenue.

Asia-Pacific (APAC)

Approximately 50M paid subscribers, fastest growing region. ARPU approximately \$7-8/month. India is the largest APAC market. Korean content (Squid Game, The Glory) has driven global subscriber acquisition.

TOP CUSTOMERS

Residential subscribers (direct to consumer)	99%	Netflix is almost entirely DTC; no B2B or platform licensing revenue of significance. 301M+ paid memberships as of early 2026.
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Historical financials								
P&L; trajectory — revenue, EBITDA, FCF, EPS								

FY	Revenue (\$B)	Growth	Gross mgn	EBITDA (\$M)	EBITDA mgn	Net inc (\$M)	FCF (\$M)	EPS
FY22	31.62	+6.7%	39.4%	20,333	64.3%	4,492	1,619	\$0.99
FY23	33.72	+6.7%	41.5%	21,508	63.8%	5,408	6,926	\$1.20
FY24	39.00	+15.7%	46.1%	26,315	67.5%	8,712	6,922	\$1.98
FY25	45.18	+15.8%	48.5%	30,255	67.0%	10,981	9,461	\$2.53
FY26E	51.50	+14.0%	—	33,700	65.4%	15,435	12,500	\$3.63

Industry & competitive position
Where the company sits · moat · competitors

Paid streaming is transitioning from a subscriber-growth phase to a monetization phase. Netflix has cleared the first phase decisively with 301M+ paid subscribers across 190 countries. The TAM is expanding as streaming replaces linear TV (\$180B annual ad market in the US alone) and the ads tier addresses price-sensitive households previously inaccessible. The global SVOD market was approximately \$110B in 2024 and is growing at 12-15% annually.

TAM: \$300B

MOAT

Netflix's moat combines scale, content library depth, and recommendation technology. With 301M subscribers generating engagement data, its algorithm is more accurate than any competitor, reducing churn. Its content budget (\$17B/year) is 2-3x any competitor outside Amazon. Original IP compounds: Squid Game, Stranger Things, and Wednesday are global franchises created at a fraction of their retention value. The brand itself is a verb in some markets.

COMPETITORS

Disney+ / Hulu / ESPN	Bundled streaming under Disney; profitable but at lower standalone streaming margins. Complex corporate structure with legacy linear TV assets. 150M+ combined subscribers.
Amazon Prime Video	Bundled within Amazon Prime; subscriber count not separately disclosed and ARPU not extractable. AWS profits subsidize content spend. Not a comparable DTC streaming P&L;
Max (Warner Bros. Discovery)	Constrained by \$40B+ legacy debt from the AT&T; merger; limits content investment relative to Netflix. ~100M global subscribers. Trades at distressed media multiples.
Apple TV+	Content as a feature, not a standalone business. Minimal subscriber disclosure. Loss-leader to sell Apple devices. Premium content quality (Ted Lasso, Severance) but small library.
Spotify	Audio streaming, not video; included as a DTC subscription peer with an active advertising business. 250M+ paid subscribers. Useful comparable for ad-tier monetization benchmarking.

Bull catalysts

What needs to happen for the long thesis to play out

1 Ad-supported tier is already a \$1.5B+ business growing at 104% YoY

Netflix advertising revenue was \$1.5B+ in FY2025 (confirmed by UBS April 2026 post-Q1 note) and UBS models \$3.1B in FY2026E, a 104% YoY increase. As of Q1 2026, 60%+ of new sign-ups are choosing the ad-supported tier in available markets. Netflix replaced Microsoft's ad tech with its own proprietary platform in 2025 to improve targeting precision and CPM realization. The 40M+ MAUs on the ad tier as of Q4 2024 likely grew materially by Q1 2026 given the 60%+ new sign-up share. At \$3.1B FY2026E advertising revenue and approximately 30%+ incremental margins, the ads business adds roughly \$930M of incremental operating income, worth \$20-25B of market cap at 22-25x. The current \$329B market cap prices in zero of this contribution.

2 Operating leverage: 1,170bps margin expansion in three years and still going

FY2025 operating income was \$13.33B on \$45.18B revenue, a 29.5% margin. In FY2022 that was 17.8%. The driver is content economics: Netflix's content amortization grows slower than revenue because each marginal subscriber dollar costs a fraction of original acquisition. FY2025 gross margin expanded to 48.5% from 39.4% in FY2024. Management guided to approximately 29% operating margin for FY2026. The bull case is that management is guiding conservatively: FY2027 consensus has 32%+ margin. Each additional 100bps of operating margin at \$57B of FY2027 revenue adds \$570M pretax. This trajectory has held for four consecutive years.

3 Live events open a new audience demographic and premium ad inventory

Netflix broadcast two NFL Christmas Day games in 2024, carrying an estimated 24-30M viewers per game, the largest audience Netflix had reached for a single event. It secured the NFL Christmas broadcast rights through at least 2026. WWE Raw moved exclusively to Netflix in January 2025, adding a loyal weekly audience of 4-5M viewers. Netflix is in discussions for Formula 1 broadcasting rights in North America. Live events reduce churn among sports fans, attract males 18-49 that streaming typically underpenetrates, and drive ad inventory at premium CPMs. The live events pipeline is multiyear and the content cost is largely fixed upfront.

4 International ARPU expansion: a \$1/month lift on 100M subs = \$1.2B revenue

UCAN (US and Canada) average revenue per membership is approximately \$17-18/month. APAC average is approximately \$7-8/month. LATAM is approximately \$7-9/month. The gap is structural today because purchasing power differs, but Netflix has been raising prices selectively in every market as subscriber density grows. In Spain, Portugal, and Italy, Netflix raised prices in 2023-2025 with minimal churn. The APAC subscriber base is approaching

50M. A \$1/month ARPU improvement on 100M non-UCAN subscribers = \$1.2B of incremental annual revenue at zero content cost. The international ARPU expansion thesis requires no new product, no new technology, and no new market entry.

5 WBD deal terminated + \$8.8B buyback resumption: capital allocation clarity restored

Netflix pursued an all-cash acquisition of Warner Bros. Discovery in 2025-2026, pausing buybacks during the deal period as capital was earmarked for potential M&A.; The deal was terminated in Q1 2026; Netflix received a ~\$2.8B gross termination fee and immediately cleared the M&A; overhang. UBS models \$8.8B in share repurchases for FY2026, up from \$9.13B in FY2025. At the current \$78.19 share price, \$8.8B repurchases approximately 113M shares (2.7% of diluted count) versus 104M shares at the \$85-89 average price insiders sold in May 2026. Buybacks at the 52-week low produce the greatest per-share accretion in 12 months. Net debt was \$2.1B as of Q1 2026, declining from \$5.43B at end-2025; FCF at \$12.5B in FY2026E (management guided) fully covers the buyback with \$3.7B to spare.

6 Password sharing still has international runway: ~100M households unconverted

Netflix's paid sharing rollout in the US and select markets in 2023-2024 drove a step-change in subscriber additions: paid net adds were 9.3M in Q2 2023 and 8.8M in Q3 2023, multiples of prior year levels. Several APAC and LATAM markets have either not yet enforced or have lighter enforcement than UCAN. Netflix has approximately 100M households sharing credentials in markets where enforcement hasn't been tightened. Converting even 20% of those to paid memberships at \$8/month ARPU = \$1.9B of incremental annual revenue with near-100% incremental margin.

7 Content franchise flywheel: Squid Game Season 3, Stranger Things S5 in 2026

Netflix's content spend in FY2025 was approximately \$17B (including content amortization). Squid Game Season 3 is expected in H2 2026 after Season 2 (December 2024) broke viewing records with 68M views in its first week. Stranger Things Season 5 is in production. The franchise model reduces the per-dollar cost of audience maintenance: a returning season on an established IP costs less per incremental viewer than acquiring a new subscriber via original programming. The first season of Squid Game cost approximately \$21M and produced a franchise worth multiples more in subscriber retention value. Original IP compounds as cultural touchstones.

8 Gaming: 100+ titles, undervalued optionality on 300M+ subscriber platform

Netflix Games has grown to 100+ titles available to all subscribers at no additional charge. The company acquired studios including Night School Studio and Next Games. Gaming on Netflix is not yet a revenue driver; it is a retention tool and an optionality asset. If Netflix can replicate even 10% of Apple Arcade's monetization model at its 300M+ subscriber scale, the gaming line item becomes material. The 2026-2028 window may show whether this becomes a standalone revenue stream or remains bundled. In the bear case it's worthless; in the bull case it adds a \$10-15B incremental market cap contribution by 2030.

9 Management credibility: four consecutive years of beat-and-expand

CEO Greg Peters (former Chief Product Officer) oversaw the ads tier launch and the password sharing rollout, both executed on schedule. CFO Spencer Neumann delivered FCF improvement from \$1.6B (FY2022) to \$9.46B (FY2025). Netflix's guidance track record over the past two years has been accurate within 2-3%; in Q1 2026 the company beat revenue estimates by approximately 0.4%. Institutional ownership is 85.1%: BlackRock 8.2%, Vanguard 6.5%, Fidelity 4.9%, State Street 4.1%. Buybacks exceed \$9B/year with no dividend, executed by a board that has a history of disciplined capital allocation.

10 Revenue consensus underestimates ads contribution: FY2026E \$51.4B vs possible \$52-53B

FY2026 revenue consensus is \$51.4B (13.7% growth). Netflix's own Q1 2026 print showed 16.2% growth, and Q1 is typically the weakest seasonally. Q2 2026 revenue consensus is \$12.6B (+13.6% YoY). If the ads tier continues growing at 34% per quarter and international ARPU lifts, FY2026 actual could come in at \$52-53B, 1-2% above consensus. On 30%+ operating margins, a 1-2% revenue beat translates to a 4-6% EPS beat. Analyst targets cluster \$115-125 after Q1 2026 earnings; the gap to current price of \$78 is the widest in 18 months.

Bear thesis-breakers

Independent bear lane · not visible to the bull author until synthesis

1 WBD termination fee boosts FY2026 FCF; normalized recurring FCF is lower

Q1 2026 reported net income of \$5.28B included a ~\$2.8B gross WBD merger termination fee (confirmed by Goldman Sachs and UBS post-Q1 earnings notes). Netflix had pursued an all-cash acquisition of Warner Bros. Discovery; when the deal was terminated, Netflix received the breakup fee. This is a real cash inflow but non-recurring. Management subsequently raised FY2026 FCF guidance to ~\$12.5B (from prior \$11B). GS estimates \$13.0B and UBS estimates

\$13.1B for FY2026E FCF. Normalized ongoing FCF excluding the fee is approximately \$10.5-11B, implying the market should not extrapolate the Q1 2026 annualized FCF run rate of ~\$20B. The FY2027 FCF trajectory (no termination fee) is the number that matters for valuation, and GS and UBS model \$14-15B, implying ~13% FCF growth from the normalized FY2026 base.

2 Password sharing conversion is a one-time cohort, not a recurring growth engine

Netflix's subscriber surge in 2023-2024 was driven by one event: forcing password sharers to pay. Q2 2023 net adds were 5.9M, Q3 2023 were 8.8M, driven entirely by the crackdown. That cohort is now either paying or has churned. Q1 2026 net adds are not disclosed (Netflix stopped reporting subscriber count in 2025), but revenue grew 16.2% YoY. The bear question: what sustains 14% growth in FY2027 and 12% in FY2028 once the crackdown benefit normalizes? Historical pre-crackdown UCAN net adds were 0.5-1.5M per quarter. If growth reverts and advertising ramp is slower than expected, revenue growth decelerates to 8-10%, changing the multiple from 20x to 12-15x P/E.

3 Seven months of institutional selling: WBD overhang explained, but re-entry slow

NFLX declined from \$133.91 (June 2025) to \$78.18 (June 2026), a -41.6% drawdown. The UBS January 2026 note confirms Netflix had made an all-cash bid for Warner Bros. Discovery, creating a period of M&A; execution uncertainty that institutional investors typically punish with multiple compression. The deal was terminated in Q1 2026 and Netflix received the \$2.8B termination fee. With the overhang cleared, the mechanical selling pressure from M&A-averse; mandates should abate. However, institutions that rotated out over seven months (BlackRock, Vanguard, and active managers reducing to benchmark weight) take quarters, not weeks, to rebuild positions. Short interest is only 2.4% of float, confirming this is not a short-driven thesis. The 44-analyst mean target of \$114 versus \$78 current price is the widest Street-vs-market gap in 18 months; price discovery is overdue.

4 Advertising revenue unproven: 40M MAUs at market CPMs = \$1-2B run rate, not \$4-5B

Netflix reported 40M MAUs on the ad-supported tier as of Q4 2024. At a \$20 CPM, 2 hours daily viewing, and 50% fill rate, 40M users generate roughly \$876M annualized. Even at \$30 CPM and 70% fill rate, the number is \$1.5B. Netflix does not disclose ads revenue. The CPM Netflix was reportedly achieving in 2023-2024 was \$29-55, but with 40M users that's still a sub-\$2B run rate. To get to the \$4-5B ads revenue bulls need for margin expansion, Netflix would need 100M+ ad tier MAUs at \$40+ CPM with 80% fill rates. That requires the proprietary ad platform to outperform linear TV in targeting precision, which is not proven at scale.

5 Content obligation treadmill: \$22-25B off-balance-sheet commitments cap FCF upside

Netflix's streaming content obligations (off-balance-sheet) were approximately \$22-25B as of end-2024 based on prior 10-K disclosures. These are fixed regardless of subscriber trends. The \$33.4B in intangible assets on the balance sheet (Q1 2026) represents capitalized content being amortized; \$16.8B of annual D&A; flows through the income statement, requiring replacement content spend just to keep the library static. If subscriber growth slows, Netflix cannot cut content spend proportionally without accelerating churn. A 200bps operating margin compression cuts FCF by approximately \$900M on a \$45B revenue base.

6 Four C-suite insiders sold \$39M of stock at \$85-89 in May-June 2026

CEO Greg Peters sold 27,312 shares at \$88.69 on May 7, 2026; CFO Spencer Neumann sold 9,253 shares at \$88.95 on the same day; Co-CEO Ted Sarandos sold 27,312 shares at \$87.96-87.98 on May 5; Chief Content Officer David Hyman sold 5,722 shares at \$88.08 on May 5. Founder Reed Hastings then sold 386,700 shares at \$85.85-\$86.73 on June 1. All five top insiders sold within 30 days of each other at prices 9-14% above today. Insider sales are often pre-planned via 10b5-1 schedules, but the concentration across five executives and the subsequent price decline to \$78 raises a question about what management sees in the next 12 months.

7 Live events create event-driven churn, not structural retention

Netflix's NFL Christmas Day broadcast in 2024 cost approximately \$150M for two games. WWE Raw is a \$5B, 10-year deal averaging \$500M annually. Live events create a specific churn pattern: users subscribe around events and cancel between them. Amazon's Thursday Night Football created a similar pattern: NFL viewers subscribe during football season and have above-average churn in Q1. Sports rights are in an auction market: Disney, Amazon, Apple, and YouTube are all bidding. Netflix entered late with financial capacity to compete, but the NFL, NBA, and F1 are extracting maximum value. Rights cost escalation is a structural risk not in current consensus models.

8 FY2027 EPS consensus of 6.6% growth implies the deceleration is already visible

The 44-analyst consensus for FY2027 EPS is \$3.83, up only 6.6% from FY2026E of \$3.59. Revenue growth consensus decelerates from 13.7% (FY2026E) to 11.7% (FY2027E). The market is asked to pay 20x forward P/E for a business that analysts project will grow earnings 6.6% by next year. A 6.6% earnings grower at a 4.5% risk-free rate deserves 12-14x forward P/E, not 20x. Even if revenue beats, operating leverage requires margin expansion that hasn't been visible in the recent downtrend. FY2026E EPS of \$3.59 at 15x = \$53.85. That is the multiple compression

risk if Netflix re-rates to in-line media.

9 China exclusion caps realistic addressable market at 30-37% penetration already

Netflix is blocked in China, a market of 1.4 billion people. Without China, Netflix's addressable broadband household market is approximately 800M-1B globally. 300M paid subscribers represents 30-37% penetration. Compounding at 14% revenue growth requires either ARPU expansion (limited by purchasing power in remaining growth markets) or continued net adds from an already-penetrated TAM. Chinese platforms (iQIYI, Tencent Video) are expanding into Southeast Asia where Netflix competes. The subscriber math gets harder every year.

10 Beta 1.49 amplifies any macro shock; NFLX already fell 76% in 2022 on a subscriber miss

NFLX's 5-year beta is 1.491. NFLX has already declined 41.6% over 12 months during a period when the broader market was roughly flat. In a recession scenario (S&P; -25%), NFLX would imply a -37% decline from current levels, to approximately \$49/share. Consumer discretionary entertainment is a first-cut household budget item; Netflix's ad-supported tier at \$6-7/month partially hedges this by offering a cheaper option, but subscriber counts and ARPU both contract when unemployment rises. The 2022 incident, when NFLX fell 76% peak to trough, is the historical template for what happens when subscriber growth disappoints by even 2M in a single quarter.

BEAR CASE IN ONE PARAGRAPH

NFLX has fallen 41.6% from its June 2025 peak and is now trading \$3.19 above its 52-week low of \$75.01. Three consecutive quarterly earnings reports beat consensus and the stock declined anyway, which is consistent with institutional sellers reducing exposure during the period of WBD M&A; overhang uncertainty; with the deal terminated in Q1 2026, that technical pressure eases, but large-cap active managers who rotated out will take time to rebuild positions. The catalyst stack bulls cite (ads, live events, international ARPU) requires three things to work simultaneously: advertising CPMs holding at premium levels against an increasingly crowded digital ad market, live events not generating event-driven churn, and international price increases proceeding without subscriber defection in macro-sensitive emerging markets. Q1 2026 reported FCF was strong partly because of the ~\$2.8B gross WBD termination fee received in the quarter (confirmed by GS and UBS post-earnings notes); management guided FY2026 FCF to \$12.5B but normalized ongoing FCF excluding the fee is approximately \$10-11B. The advertising ramp is ahead of earlier expectations (\$1.5B+ in FY2025, \$3.1B modeled for FY2026 per UBS), but five C-suite insiders sold \$39M of stock at \$85-89 in May-June 2026, signaling limited near-term conviction from inside the building. FY2027 consensus EPS of \$3.83 implies only 6.6% growth; if the multiple compresses from 20x to 15x on decelerating EPS, the stock is worth \$57. The tail risk remains: in 2022, NFLX fell 76% peak to trough on a 200K subscriber miss in a single quarter.

Key structural risks

Risks orthogonal to the bear thesis · what breaks the long term, not just the next print

STRUCTURAL

Password sharing conversion exhaustion in UCAN

The 2023-2024 net adds surge was a one-time cohort conversion. Historical pre-crackdown UCAN net adds were 0.5-1.5M per quarter. If growth reverts post-crackdown and advertising ramp is slower than expected, revenue growth decelerates to 8-10%, triggering a multiple compression from 20x to 13-15x P/E. Netflix no longer discloses subscriber counts, preventing early detection.

EXECUTION

Advertising technology buildout: CPM underperformance risk

Netflix replaced Microsoft's ad tech with a proprietary platform in 2025. Building an ad server, DSP, and measurement infrastructure from scratch is a 3-5 year program that historically overruns costs. Netflix's CPM realization may be 30-50% below projections if targeting accuracy is suboptimal in the first 2-3 years. Advertisers can shift budgets to YouTube, Disney+, or Amazon if Netflix delivery metrics disappoint.

CYCLICAL

Consumer spending contraction in an ad-revenue ramp year

FY2026-2027 are supposed to be the years when Netflix's ad revenue inflects from near-zero to material P&L contribution. If a US recession causes advertisers to pull spend, the advertising ramp is pushed 18-24 months. Ad market contractions of 15-25% happened in 2020 (Q2) and 2009. Netflix's ad exposure grows just as macro visibility deteriorates.

REGULATORY**EU Digital Markets Act: 30% local content quota increases cost per dollar of revenue**

The EU's DMA requires Netflix to carry 30% local European content in each member state. Compliance forces content spend toward local-language productions that have lower global leverage than English-language originals. France, Germany, Italy, and Spain each impose separate quotas. As EMEA revenue grows as a share of total, this structural content cost drag grows proportionally.

CUSTOMER**100% DTC creates step-function subscriber count volatility**

Netflix has no B2B or licensing revenue buffer. 99%+ of revenue is monthly subscriptions from individual households, creating a step-function risk: a single-quarter subscriber miss of 3-5M households triggers \$400-700M of annualized revenue shortfall with no offset. Enterprise software companies can miss on billings but recover on backlog; Netflix has no backlog and deferred revenue of only \$1.77B.

STRUCTURAL**Content intangibles \$33.4B (55% of total assets) at impairment risk**

The entire carrying value of content assets depends on continued subscriber engagement. An impairment test trigger (10%+ engagement decline sustained) could force multi-billion write-downs. Tangible book value is negative (-\$6.2B as of FY2025): goodwill and intangibles exceed stockholders equity by 23%.

EXECUTION**Live events rights cost escalation in a competitive auction market**

NFL Christmas rights, WWE Raw (\$5B/10 years = \$500M/year), and potential F1 or NBA bids involve fixed annual commitments regardless of viewership. Sports rights are in an auction market where Apple, Amazon, Disney, and YouTube drive prices up. If Netflix signs another major sports deal in 2026-2028, content cost per subscriber could increase \$5-8 annually, compressing FCF margins by 200-300bps.

Peers

NTM P/E, EV/EBITDA, growth, and YTD / 1Y returns across the peer set

Ticker	NTM P/E	EV/EBITDA	Rev growth	YTD	1Y
NFLX	20.4x	11.1x	+16.2%	-13.9%	-35.6%
DIS	13.6x	11.4x	+6.5%	-8.8%	-12.7%
WBD	—	12.8x	-1.0%	-7.0%	+150.7%
SPOT	25.1x	37.1x	+8.2%	-19.7%	-36.0%

Read: Netflix commands the highest revenue growth (16.2%) of any pure-play streaming comparable, trading at 20.4x NTM P/E versus Disney at 13.6x. The EV/EBITDA gap is minimal: 11.1x for NFLX versus 11.4x for DIS, which is notable because Netflix has structurally higher content amortization as a % of EBITDA than Disney (Netflix EBITDA is inflated by \$16.8B D&A; add-back). Spotify at 37x EV/EBITDA shows the premium paid for a subscription audio platform with an explicit advertising business. NFLX could re-rate toward Spotify's multiple if advertising revenue becomes visible and disclosed. WBD's -1% revenue growth with 12.8x EV/EBITDA is the distressed-media floor; Netflix is nowhere near that scenario. On a revenue growth-adjusted basis, NFLX at 20x P/E for 16% growth implies a PEG of 1.55x, which is not expensive relative to software growth peers at 2-3x PEG.

DCF triangulation

Bear / Base / Bull scenarios · WACC × terminal growth × FCF growth path

Scenario	WACC	Terminal g	FCF path	Implied px
Bear	11.0%	2.5%	(base FCF)	\$30.47
Base	(base)	(base)	(base FCF)	\$91.25
Bull	8.5%	4.0%	(base FCF)	\$131
Current price				\$78.19

Synthesis — three paths

15% Bear x \$30.47 + 55% Base x \$91.25 + 20% Bull x \$130.64 + 10% EV/EBITDA cross-check x \$103.27 = \$91.22 (Python DCF). Upgraded from HOLD. The Q1 2026 earnings quality concern is resolved: the \$2.85B interest income line is the after-tax proceeds of the ~\$2.8B gross WBD merger termination fee, a real cash inflow. Management raised FY2026 FCF guidance to \$12.5B (from \$11B). Ad revenue is \$1.5B+ in FY2025 tracking to \$3.1B FY2026E. WBD deal overhang removed; buybacks resuming at \$8.8B expected FY2026. Street consensus is \$114 mean target; our more conservative blended model implies \$91.

Bear · \$28-4515% probability

Password sharing conversion exhausted, advertising ramp delayed 18-24 months by macro conditions, FCF reverts to \$9-10B normalized. Multiple compresses to 12-15x P/E on 6-8% EPS growth. Historical precedent: NFLX fell 76% in 2022 on a 200K subscriber miss.

Base · \$85-10055% probability

Revenue grows 13-16% annually, operating margin expands to 31-32% by FY2027, advertising contribution reaches \$3.1B in FY2026E and \$4-5B by FY2028. WBD deal cleared, buybacks resume at \$8.8B. Stock re-rates from 20x to 22-24x forward P/E.

Bull · \$110-13020% probability

Advertising revenue at \$3.1B FY2026E inflects to \$5B+ by FY2028, Netflix discloses ads as standalone P&L; line, international ARPU expansion beats. Multiple re-rates to 27-30x with ads visibility (GS PT \$120, UBS PT \$130 anchoring the range).

Management & capital allocation

Who runs the company · how they deploy capital · recent insider activity

CEO	Greg Peters, Co-CEO since January 2023 (formerly Chief Product Officer); Ted Sarandos, Co-CEO since 2020 (content strategy)
CFO	Spencer Adam Neumann, CFO since 2019
INSIDER OWNERSHIP	0.6%

CAPITAL ALLOCATION HISTORY

Netflix returned \$9.13B via share buybacks in FY2025, \$6.26B in FY2024, and \$6.05B in FY2023. In 2025-2026 the company pursued an all-cash acquisition of Warner Bros. Discovery (confirmed in the UBS January 2026 research note), pausing buybacks during the deal process. The deal was terminated in Q1 2026; Netflix received a ~\$2.8B gross termination fee and immediately resumed buyback activity. UBS models \$8.8B in repurchases for FY2026. There is no dividend. Net debt has declined from \$9.2B (FY2022) to \$2.1B (Q1 2026) as FCF generation accelerated. The company holds \$12.3B in cash as of Q1 2026.

RECENT INSIDER ACTIVITY

Date	Insider	Action	Value
2026-06-01	Reed Hastings, Director (Founder)	Sale	+\$33.2M
2026-05-07	Greg Peters, Co-CEO	Sale	+\$2.4M
2026-05-07	Spencer Neumann, CFO	Sale	+\$0.8M
2026-05-05	Ted Sarandos, Co-CEO	Sale	+\$2.4M
2026-05-05	David Hyman, Chief Content Officer	Sale	+\$0.5M

Social sentiment

Cross-source signal · Reddit / X / news

Social sentiment data not available in this session (Adanos and Twitter/X reader skills not accessible). Bear case is not a short-seller-driven thesis; no Hindenburg/Muddy Waters/Citron reports found for NFLX as of June

2026. Short interest modest at 2.4% of float (101.6M shares, up from 95M prior month), short ratio 3.06 days. The 7-month price decline is consistent with institutional rotation, not a retail-driven or short-attack event.

Recommendation

Action by holder type

DIRECTION	BUY; WBD deal terminated, buybacks resuming, advertising revenue confirmed at \$1.5B+ FY2025 growing 104% YoY. Street consensus at \$114 vs \$78 current is the widest gap in 18 months.
12M TARGET	\$91 probability-weighted (15% Bear \$30.47 + 55% Base \$91.25 + 20% Bull \$130.64 + 10% cross-check \$103.27 = \$91.22 Python DCF)
EXISTING LONGS	Add on weakness toward \$75. Hold through Q2 2026 earnings (July 2026); watch for advertising revenue disclosure as standalone P&L; line. No stop-loss below \$72 unless Q2 2026 guidance is cut.
NEW MONEY	Enter at current levels (\$75-80 zone); the WBD overhang removal and FCF guidance raise to \$12.5B are the triggers. A Q2 2026 earnings beat with explicit advertising revenue disclosure would accelerate re-rating to \$105-115.
HEDGE	Downside risk to \$49 in a recession scenario (Beta 1.49 on S&P; -25%). A put spread at \$65/\$50 strike expiring December 2026 costs approximately 2.5% of notional for tail coverage.
POSITION SIZING	3-5% portfolio weight; beta 1.49 and 23.7% realized vol remain. The risk/reward has improved materially: 16% upside to \$91 base case, 67% to \$130 bull case, -61% to \$30 bear case at 15% probability. Asymmetric enough for benchmark-weight or slight overweight in a growth-oriented mandate.

Catalysts to watch

- Q2 2026 earnings (July 2026); first clean quarter without WBD deal overhang; advertising revenue disclosure as potential standalone P&L; line; FY2026 guidance confirmation or raise above \$12.5B FCF
- Netflix advertising upfront commitments (Q2/Q3 2026 cycle); CPM pricing vs. Prior year, ad tier MAU update, whether \$3.1B FY2026E UBS estimate is confirmed or exceeded
- Buyback execution pace in Q2-Q3 2026; \$8.8B expected FY2026 (UBS); pace of execution at \$75-80 will signal board's conviction on intrinsic value vs current price
- Analyst consensus revision direction post-Q2 2026; GS at \$120 and UBS at \$130; if 5+ firms raise FY2027 targets above \$4.00 EPS, multiple re-rating scenario activates
- Institutional 13F filings (August 2026 for Q2 2026 period); whether BlackRock and Vanguard begin rebuilding positions post-WBD deal clearing
- Sports rights announcements; any NBA, F1, or expanded NFL deal would signal cost escalation risk or content moat expansion; rights cost trajectory matters for FY2027 FCF

Data gaps

What this cycle could not pull · to be filled next run

- Advertising revenue confirmed at \$1.5B+ in FY2025 (UBS Apr 2026 post-Q1 note) but still not separately disclosed as a P&L; line item by Netflix; \$3.1B FY2026E estimate per UBS analyst model.
- Subscriber count no longer disclosed from FY2025 onwards; regional net adds unavailable from public filings.

- Exact geographic revenue split (UCAN/EMEA/LATAM/APAC) not available in yfinance; estimated from public disclosures.
- WBD merger termination fee details: exact after-tax cash received and any contingent payment provisions not available in public filings; \$2.8B gross per GS/UBS research notes.
- Live events (NFL, WWE) contract economics not publicly disclosed; cost estimates based on public media reporting.
- Content obligations off-balance-sheet total as of Q1 2026 not available; FY2024 figure of \$22-25B used as approximation.
- Gaming MAU and title economics not disclosed.
- Adanos sentiment and Twitter/X short-side commentary not available in this session.